



ILLUSTRATION BY **RAJ VERMA**

either discharged or acquitted of the predicate offence or the offence has been compounded or case against him quashed by a court, there can be no proceedings under PMLA and there cannot be any attachment of property purportedly linked to the scheduled offence. While this seems obvious, there have been attempts by the authorities to continue PMLA proceedings even where the criminal proceedings were quashed.

Power of arrest

The most debated aspect of the SC judgement deals with the power of arrest under Section 45 of the PMLA. The issue before the SC was whether the twin conditions mentioned in Section 45 relating to grant of bail were constitutional or not. In an earlier judgement, the SC had held them to be unconstitutional, and to address that, the law was amended in 2018. Now, the SC held that money laundering posed a serious threat to the sovereignty and integrity of the

country, and that Section 45 giving the power of arrest to the authorities is reasonable, has direct nexus with the objectives of the Act and does not suffer from arbitrariness.

ECIR

Another aspect of the judgement is about the right of an arrested person to get a copy of the Enforcement Case Information Report (ECIR). It was argued before the SC that an FIR under the Criminal Procedure Code is required to be provided to the arrested person and so should be the copy of the ECIR. The SC held that ECIR is an internal document of the Enforcement Directorate (ED) and it is not necessary that every arrested person should be provided a copy thereof; however, the ED should disclose to the arrested person the grounds of arrest.

Provisional attachment

The SC upheld the constitutional validity of Section 5 of the PMLA,

which authorises the ED to provisionally attach assets. The apex court observed that there were enough safeguards in law as a result of which a person is not dispossessed of the property provisionally attached until the crime has been established.

Burden of proof

It was argued before the SC that Section 24 of the PMLA reverses the burden of proof on the accused to demonstrate that the proceeds of a crime are untainted property and is therefore arbitrary and unconstitutional. The SC held that Section 24 has a reasonable nexus with the purpose and the objective of PMLA and is therefore not unconstitutional.

The way forward

The SC has not dealt with the issue as to whether amendments to the PMLA carried out by finance Acts are constitutionally valid. That is a matter pending before a larger bench whose judgement is awaited. At a point of time when criminal activities including international trafficking in drugs is reaching mammoth proportions, the judgement of the SC will come as a shot in the arm for the ED. The aspects of the judgement which deal with falling off the radar of PMLA if the predicate offence does not survive is welcome. It is now up to the authorities to ensure that the administration of the law is reasonable and the power of arrest is not used indiscriminately given the fact that the offences are cognizable and non-bailable. Indeed, in times to come high courts will read, re-read and interpret this judgement when they deal with specific cases of arrest, bail, seizure and attachment; in that context this judgement, while setting at rest several of the controversies, would still be a beginning for a new set of issues to be adjudicated upon. **BT**

The writer is CEO of Dhruva Advisors LLP. Views are personal